CASCADIA ANALYTICS

Equinix, Inc.

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Interconnection moat with pricing power

Equinix, Inc. screens as a Hold with a $1,018.74 blended target, 3% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$987.44	$1,018.74	+3%	HOLD

Investment Thesis

Interconnection moat with pricing power. Equinix is the critical internet exchange point where networks meet. Power constraints and data center moratoriums make competing hubs harder to build, turning existing campuses into indispensable assets that support a scarcity premium on cross-connects and cabinet space. Recurring revenue machine. Revenue is highly recurring, driven by space, power, and interconnection fees with historically very low churn. MRR per cabinet and interconnection adds compound steadily, and Q2

- Interconnection moat with pricing power
- Recurring revenue machine
- Fairly valued at the reference price

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The latest print

Recurring revenue machine. Revenue is highly recurring, driven by space, power, and interconnection fees with historically very low churn. MRR per cabinet and interconnection adds compound steadily, and Q2 2026 bookings accelerated 23% YoY on AI inference demand.

Fairly valued at the reference price. Our REIT AFFO-based DCF values Equinix at $1,017.20 per share in the base case (8% revenue CAGR, 51% EBITDA margin), with a probability-blended target of $1,018.74, roughly 3% above the $987.44 reference price. That lands inside our Hold band, not the strong-buy $1,050 research estimate.

$2.63B	$11.78	51.1%	$5.16	~4.3x	$423M
Q2 2026 REVENUE	AFFO PER SHARE (Q2)	ADJ. EBITDA MARGIN (FY26E)	QUARTERLY DIVIDEND	NET DEBT / EBITDA	ANN. GROSS BOOKINGS (Q2)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Q2 2026 revenue	$2.63B	+16% YoY	Accelerating
AFFO per share (Q2)	$11.78	+19% YoY	Up
Adj. EBITDA margin (FY26E)	51.1%	+2pp vs FY25	Expanding
Quarterly dividend	$5.16	+10% raise	Up
Net debt / EBITDA	~4.3x	Stable	Flat
Ann. gross bookings (Q2)	$423M	+23% YoY	Accelerating

The moat

Enterprise AI is moving from training to deployment; inference favors distributed, interconnection-rich campuses. Equinix reported ~60% of its largest recent deals tied to AI workloads, with annualized gross bookings up 23% in Q2 2026.

The growth engine

Power constraints and local moratoriums make new competing hubs hard to build, giving Equinix pricing power on cross-connects and cabinet MRR. Existing campuses become more valuable as supply is capped.

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Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2027-31 CAGR	2031 REVENUE	2031 EBITDA MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	$13.08B	48.0%	**$823.02**	-17%
Base	50%	8.0%	$15.05B	51.0%	**$1,017.20**	+3%
Bull	25%	11.0%	$17.26B	53.0%	**$1,217.55**	+23%

Bear: downside case at $823.02 (-17%).

Base: central case at $1,017.20 (+3%).

Bull: upside case at $1,217.55 (+23%).

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The probability-blended target implies 3% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +3% from the $987.44 reference price.

$1,018.74
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Valuation horizon	**2027-2031**
Live WACC	**8.68%**
Terminal growth	**2.5%**
Net debt	**$21.00B**
2031 FCF (Base)	**$6.60B**
10-year Treasury yield	**5.1%**
Beta	**0.97**
Equity risk premium	**3.7%**

HOLD | $1,018.74 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 7.2%. between Bear (5%) and Base (8%) — cautious

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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Equinix, Inc. valuation framework

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-20%	$27.3B	N/A	+0%	$70.9B	N/A	+20%	$163.1B	N/A
-19%	$28.7B	N/A	+1%	$74.1B	N/A	+21%	$169.6B	N/A
-18%	$30.2B	N/A	+2%	$77.5B	N/A	+22%	$176.2B	N/A
-17%	$31.7B	N/A	+3%	$80.9B	N/A	+23%	$183.1B	N/A
-16%	$33.3B	N/A	+4%	$84.5B	N/A	+24%	$190.2B	N/A
-15%	$35.0B	N/A	+5%	$88.3B	N/A	+25%	$197.5B	N/A
-14%	$36.8B	N/A	+6%	$92.1B	N/A	+26%	$205.0B	N/A
-13%	$38.6B	N/A	**+7%**	**$96.2B**	**N/A**	+27%	$212.8B	N/A
-12%	$40.6B	N/A	+8%	$100.3B	N/A	+28%	$220.8B	N/A
-11%	$42.6B	N/A	+9%	$104.6B	N/A	+29%	$229.1B	N/A
-10%	$44.6B	N/A	+10%	$109.1B	N/A	+30%	$237.6B	N/A
-9%	$46.8B	N/A	+11%	$113.7B	N/A			
-8%	$49.1B	N/A	+12%	$118.5B	N/A			
-7%	$51.5B	N/A	+13%	$123.5B	N/A			
-6%	$53.9B	N/A	+14%	$128.6B	N/A			
-5%	$56.5B	N/A	+15%	$133.9B	N/A			
-4%	$59.1B	N/A	+16%	$139.3B	N/A			
-3%	$61.9B	N/A	+17%	$145.0B	N/A			
-2%	$64.8B	N/A	+18%	$150.9B	N/A			
-1%	$67.8B	N/A	+19%	$156.9B	N/A			

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2027	2028	2029	2030	2031
Bear	$823.02	$894.46	$925.43	$956.45	$987.40	$1,018.13
Base	$1,017.20	$1,105.49	$1,149.62	$1,192.94	$1,235.02	$1,275.36
Bull	$1,217.55	$1,323.23	$1,382.15	$1,439.35	$1,493.95	$1,544.89

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Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $1,018.74 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Enterprise AI is moving from training to deployment; inference favors distributed, interconnection-rich campuses. Equinix reported ~60% of its largest recent deals tied to AI workloads, with annualized gross bookings up 23% in Q2 2026.

Power constraints and local moratoriums make new competing hubs hard to build, giving Equinix pricing power on cross-connects and cabinet MRR. Existing campuses become more valuable as supply is capped.

Interconnection revenue is mission-critical and sticky; migrating physical routing gear is costly, producing very low churn and high revenue visibility.

The 10% dividend raise to $5.16 quarterly underscores management's confidence in AFFO durability; the REIT structure mandates distribution of taxable income, aligning payouts with cash generation.

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	FY26E
Total revenue ($B)	7.26	8.19	8.75	9.22	10.245
EBITDA ($B)	2.92	3.37	3.44	4.10	5.24 adj.
Diluted EPS ($)	7.67	10.31	8.50	13.76	N/A
Annual dividend ($/sh)	12.08	13.64	17.04	18.76	20.64

Valuation cross-check

REIT AFFO-based DCF: Bear $823.02 (5% CAGR, 48% margin), Base $1,017.20 (8% CAGR, 51% margin), Bull $1,217.55 (11% CAGR, 53% margin). Live cost of equity ~8.7% decaying to ~8.3% with beta 0.97 to 0.85. Blended $1,018.74 vs $987.44 spot = +3% upside, inside the Hold band.

Digital Realty (DLR) trades at higher AFFO multiples on similar leverage; Iron Mountain at a premium P/E. Equinix's interconnection density and ~51% margins justify a premium to wholesale peers, already reflected in its market cap ranking as the largest data center REIT.

Equinix has compounded revenue ~9% annually (FY22-FY25) with expanding margins. The blended target sits below the 52-week high of $1,128.68 and above the low of $720.62; the current price reflects roughly 7.3% implied 5-year growth per our reverse DCF, close to the base case.

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What to monitor

28 Oct 2026. Q3 2026 results after the close; consensus ~$2.57B revenue. Management commentary on AI inference pipeline and bookings momentum is the key read.

Ongoing. AI inference deal flow: nearly 60% of the largest recent deals were AI-tied; continued enterprise AI agent adoption drives distributed low-latency demand.

Quarterly. Dividend trajectory: 10% raise to $5.16 quarterly in 2026; sustained AFFO growth supports further increases.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$6.6B	—	$1.1B	—
2022	$7.3B	$3.5B	$1.2B	$2.9B
2023	$8.2B	$4.0B	$1.5B	$3.4B
2024	$8.7B	$4.3B	$1.6B	$3.4B
2025	$9.2B	$4.7B	$2.0B	$4.1B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$27.9B	$17.0B	$10.9B	$1.5B
2022	$30.3B	$18.8B	$11.5B	$1.9B
2023	$32.7B	$20.1B	$12.5B	$2.1B
2024	$35.1B	$21.5B	$13.6B	$3.1B
2025	$40.1B	$26.0B	$14.2B	$1.7B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$2.5B	—	$414M	—
2022	$3.0B	$-2.3B	$857M	$685M
2023	$3.2B	$-2.8B	$211M	$436M
2024	$3.2B	$-3.1B	$1.7B	$183M
2025	$3.9B	$-4.3B	$1.3B	$-400M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $1,018.74 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 42 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.27% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $20.42M of sales, a net flow of -$20.42M. One-year total shareholder return is +19.1% against CEO total pay of $1.24M (Ms. Adaire Rita Fox-Martin), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.27% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $20.42M (13), net -$20.42M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +19.1%; Ms. Adaire Rita Fox-Martin, President, CEO & Director, total pay $1.24M
Agency Risk Score	**42 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-09-04	Paladin Michael Shane	Officer	SELL	307	$317.7K
2026-09-02	Paladin Michael Shane	Officer	SELL	203	$206.2K
2026-08-20	Pletcher Kurt	Officer	SELL	135	$145.2K
2026-08-18	Paisley Christopher B.	Director	SELL	125	$137.9K
2026-08-03	Paisley Christopher B.	Director	SELL	4,000	$4.08M
2026-06-08	Morandi Brandi Galvin	Officer	SELL	3,726	$4.01M
2026-06-02	Fox-Martin Adaire	Chief Executive Officer	SELL	2,935	$3.10M
2026-06-02	Lin Jonathan	Officer	SELL	150	$159.3K

SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker (foreign private issuers file no DEF 14A), so no audit findings are shown.

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Rate sensitivity

As a leveraged REIT, Equinix's valuation is sensitive to the 10Y Treasury (currently ~5.1%). Sustained higher rates raise the cost of equity and the cost of funding expansion capex.

Power and permitting constraints

The same moratoriums that protect the moat can also limit Equinix's own expansion where grid capacity is constrained, capping growth in the hottest markets.

Leverage

Net debt of ~$21B is ~4.3x FY26E adjusted EBITDA. Refinancing risk is muted by long-dated fixed-rate debt, but the leverage limits flexibility if growth disappoints.

The strengths

Operating Quality

Recurring interconnection revenue with ~51% adjusted EBITDA margin guidance, very low churn from high switching costs, and a network-effects moat deepened by data center moratoriums creating a scarcity premium.

Recent Trend

Q2 2026 revenue $2.63B (+16% YoY), AFFO per share $11.78 (+19%), annualized gross bookings $423M (+23%), full-year guidance raised twice, and a 10% dividend increase to $5.16 quarterly.

Forward Growth

AI inference workloads favor distributed, interconnection-rich footprints over AI factories; management notes ~60% of largest recent deals are AI-tied. Base-case 8% revenue CAGR with pricing power on cross-connects.

Valuation

DCF base target $1,017.20 and blended $1,018.74 imply +3% upside at the $987.44 reference price, inside the plus/minus 10% Hold band. Fairly valued on an AFFO basis with terminal value carrying most of the equity value.

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Cascadia scorecard

Composite score 74: Attractive. Confidence High, as of 2026-10-18.

PILLAR	RATIONALE	SCORE
Operating Quality	Recurring interconnection revenue with ~51% adjusted EBITDA margin guidance, very low churn from high switching costs, and a network-effects moat deepened by data center moratoriums creating a scarcity premium.	85
Recent Trend	Q2 2026 revenue $2.63B (+16% YoY), AFFO per share $11.78 (+19%), annualized gross bookings $423M (+23%), full-year guidance raised twice, and a 10% dividend increase to $5.16 quarterly.	80
Forward Growth	AI inference workloads favor distributed, interconnection-rich footprints over AI factories; management notes ~60% of largest recent deals are AI-tied. Base-case 8% revenue CAGR with pricing power on cross-connects.	78
Valuation	DCF base target $1,017.20 and blended $1,018.74 imply +3% upside at the $987.44 reference price, inside the plus/minus 10% Hold band. Fairly valued on an AFFO basis with terminal value carrying most of the equity value.	62
Catalysts & Risk	Near-term catalyst is Q3 2026 results on Oct 28 (consensus ~$2.57B revenue); continued AI-inference deal flow and dividend growth support. Risks: rate sensitivity as a REIT, power constraints on expansion, 4.3x net debt/EBITDA leverage.	68

Investment view

[{'text': 'Sustained bookings growth above 20% with cross-connect pricing power intact would support a Bull-case rerating toward [[BULL]].'}, {'text': 'A sharp rise in the 10Y Treasury or a slowdown in AI-driven bookings would compress the cost-of-equity valuation toward the Bear case near [[BEAR]].'}]

Investment view: Hold. The $1,018.74 blended target implies +3%, balancing the $823.02 / $1,017.20 / $1,217.55 Bear / Base / Bull outcomes.

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